

how brilliant management perseveres with and perfects policies of this sort even when new outside influences force some redirection of these policies. From the early days of this company, top management held a deep conviction that everyone would gain if a system could be set up whereby all employees participated in managerial-type decisions to improve performance but that, to sustain interest on the part of employees, all participants must genuinely benefit from the results of their contributions. In the 1950s semiconductor production was largely a matter of hand assembly, offering many opportunities for employees to make brilliant individual suggestions for improving performance. Meetings, even formal classes, were held in which production workers were shown how they could as individuals or groups show the way to improving operations. At the same time, through both profitsharing plans and awards and honors, those participating benefited both financially and by feeling they were part of the picture. Then mechanization of these former manual operations started to appear. As this trend grew, there was somewhat less opportunity for certain types of individual contributions, as in certain ways the machines controlled what would be done. A few foremen within the organization began feeling that there was no longer a place for lower-level contributions to management-type participation. Top management took quite the opposite viewpoint: People-participation would play a greater role than ever before. Now, however, it would be a group or team effort with the workers as a group estimating what could be done and setting their own goals for performance.

Because workers started feeling that they (1) were genuinely participating in decisions, not just being told what to do, and (2) were being rewarded both financially and in honors and recognition, the results have been spectacular. In instance after instance, teams of workers have set for themselves goals quite considerably higher than anything management would have considered suggesting. At times when it appeared that targeted goals might not be met or when inter-team competition was producing rivalry, the workers proposed and voluntarily voted such unheard-of things (for this day and age) as cutting down on coffee breaks or shortening lunch periods to get the work out. The pressure of peer groups on the tardy or lazy worker who threatens the goals the group has set for itself dwarfs any amount of discipline that might be exerted from above through conventional management methods. Nor are these results confined to U.S.